GMS WEEKLY

Your Source for Recycling News

April 28th, 2023
Volume 248, Issue 1080
Week 17

Highlights:

- **India benefits.**
- **Holidays end.**
- **Rate decline.**
- **Two tide budget.**
- **Pakistan out.**
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QUOTE of the WEEK

"You have to be where you are to get where you need to go."

– Amy Poehler

MARKET COMMENTARY

HKC SALES!

Several sales have taken place into India for HKC restricted yards / green recycling only, as end Buyers seek to fill empty recycling plots, especially after a quieter period during Ramadan / Eid holidays across the sub-continent & Turkey, when minimal-to-no deals were concluded at the various destinations.

As the holiday period concludes, ever optimistic industry players are still hopeful that they may see an increase in the number of recycling candidates, as demand in Bangladesh, India, and even Turkey, ramps up again.

Notwithstanding, rates have taken somewhat of a battering off the back of declining steel plate prices & volatile currencies, and as stated in last week's edition of the GMS WEEKLY, it is becoming increasingly difficulty to get vessels delivered into Bangladesh and Pakistan, with all parties waiting on Central Bank approvals for Letters of Credit (L/Cs) to open.

Indeed, Sellers and Cash Buyers should budget for at least two tides to get vessels delivered, particularly for larger LDT & large U.S. Dollar value vessels, where these approvals are taking longer than expected to come through.

On the other end of the sub-continent, Pakistan remains largely absent from the buying due to unworkable bank limits / restrictions on the expenditure of dwindling U.S. Dollar reserves, in addition to uncompetitive pricing on units that has subsequently placed them a long way at the bottom of the sub-continent demo rankings.

At the far end, Turkey remains worse on the fundamentals front of than last week, as their dithering numbers place an incredible downward pressure on vessel prices.

Overall, due to an uptick in both dry bulk and container charter rates at the start of this year, there has been a relative slowdown in the number of available recycling candidates. However, we have witnessed a slight increase in the inflow of (HKC) tonnage over these last couple of weeks as markets level off, and India has been the chief beneficiary of this over these units.

For week 17 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Steady	580 / LDT*	600 / LDT*	620 / LDT*
2	India	Steady	560 / LDT	570 / LDT	590 / LDT
3	Pakistan	Weak	540 / LDT*	550 / LDT*	560 / LDT*
4	Turkey	Steady	330 / LDT	340 / LDT	350 / LDT

**Subject L/C approval*

BANGLADESH

LARGELY ABSENT!

Ongoing hols.

Bangladesh has been largely absent from the buying over the last few weeks due to ongoing Ramadan and Eid holidays.

Levels have declined by about USD 50/LDT since their peaks seen earlier this year, leaving levels well below the ongoing expectation of Owners and Cash Buyers alike.

Fundamentals do remain shaky as steel plate trading came to a complete halt while the markets remained off during Ramadan, coupled with a Taka that weakened past BDT 107.2X, ending the week at BDT 106.40 against the U.S. Dollar.

Focus Alang.

Finally, despite the inclusion of several new yards in Bangladesh on the class NK HKC list, the supply of vessels into Chattogram has dwindled of late as the focus has instead redirected towards Alang where several HKC deals were concluded this week.

NO MARKET SALES REPORTED

INDIA

DEALS DONE!

As tonnage flow increases after various holidays have concluded across the globe, several deals were concluded into India this week.

Tonnage flows.

MSC has concluded yet another unit for resale to a limited number of HKC yards as the MSC LUCIA (8,911 LDT) was committed for a decent USD 530/LT LDT. Additionally, the Chinese built MR tanker MARITIME LIRA (12,235 LDT) managed to fetch USD 515/LT LDT basis a recycling resale restricted to 10 local yards only, in addition to strict monitoring – further highlighting an increased commitment of Vessel Owners towards responsible recycling.

Fundamentals improve.

On the domestic fundamentals front, local steel plate prices fell another (marginal) USD 5/Ton, while the Indian Rupee further firmed and has been trading in the high Rs. 81s against the U.S. Dollar, as demand and rates slowly improve for the week, inching India closer to Bangladesh.

Unfortunately, Alang's waterfront has been subject to the effects of the lack of tonnage through the previous weeks, as not a single new vessel arrived local anchorage during the course of the week.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
MARITIME LIRA	Tanker	12,235	USD 515/LT LDT (for limited 10 yards only HKC recycling)
MSC LUCIA	Container	8,911	USD 530/LT LDT (for limited yards only HKC recycling)

PAKISTAN

MILES OFF!

No action.

Despite the conclusion of Eid holidays and with it, the end of the Holy month of Ramadan, there has been little change to the status quo in Pakistan whilst Gadani Recyclers remain miles from the action.

As it stands, the Pakistani Central Bank remains even less likely than the Bangladeshi Central Bank to approve any forthcoming L/C openings, due to the ongoing and dire lack of U.S. Dollar reserves in the country.

Price low.

This has further reflected dreadfully at the waterfront as no new vessels have arrived in Pakistan since March 03rd and the only vessel that has, remains stranded outside.

Even fundamentals remain precarious as the Pakistani Rupee is still traversing in excess of PKR 283 against the U.S. Dollar, all while local steel plate prices continue to flatline, week after week in Pakistan.

As a result of the ongoing volatility, vessel prices remain some ways off even India, and it therefore remains unlikely that any deals can or will be concluded into Gadani in the foreseeable future.

NO MARKET SALES REPORTED

TURKEY

DEGRADING?

The Turkish market has been gradually slipping (from a fundamentals perspective), week after week.

Fundamentals keep falling.

Local steel plate prices fell by about USD 10/Ton whilst import steel declined by about USD 15/Ton, all while the Lira continues its unending drag down quicksand lane passing TRY 19.40 against the U.S. Dollar – as an overall downward trajectory registers in Turkey for several weeks in a row now.

Meanwhile, the omnipresent problem of the shortage of tonnage has not spared the Turkish market either, as the bitter absence of vessels has kept local Buyers hungry / desperate enough to have maintained their vessel prices despite key fundamentals degrading on a weekly basis.

Inevitable decline?

Overall, it certainly feels as though an inevitable degrading of this market is forthcoming, especially if the absence of tonnage continues.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *The Moon is lemon-shaped. Despite its appearance in the night sky, our natural satellite is nowhere near round. In fact, the Moon is shaped like a lemon, with flattened poles and bulges on both the near and far side around its equator. This strange shape is thought to have been created during interactions with Earth soon after its formation.*
- *Milky Way smells of rum, raspberries and booze. In 2009, astronomers exploring a giant cloud of gas and dust at the center of the Milky Way made a surprise discovery – the cloud was packed full of a chemical known as ethyl formate, which has a couple of intriguing properties: it is responsible for giving raspberries their flavour and has the smell of rum. Another nearby region is also notable as it's full of ethyl alcohol, or ethanol, the type we use to make alcoholic beverages. It contains enough alcohol to supply every person on the planet with 300,000 pints of beer per day for the next billion years!*
- *On Mercury a day is twice as long as a year. Technically, one Mercurian day lasts 59 Earth days, while a year lasts 88. However, due to Mercury's very eccentric orbit and alignment with the Sun, the length of time from sunrise to sunrise, known as a 'solar day', is equal to 176 Earth days — twice as long as a Mercurian year.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
May 01 – Labor Day May 05 – Buddha Purnima	May 04 – May 11 May 16 – May 24

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
May 01 – May Day May 04 – Buddha Purnima	May 05 – May 08 May 18 – May 21

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
May 01 – 03 – Labor Day	May 01 – Labor Day	May 01 – Labor and Solidarity Day May 19 – Youth and Sports Day

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ALANG - Port Position as of April 28, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Augusta II*	*9,920*	*Oil Tanker*	*Beached April 21*
2	*MSC Nora II*	*10,611*	*Container*	*Beached April 26*
3	*MSC Veronique*	*23,450*	*Container*	*Beached April 21*
Total Tonnage		**43,981**		

CHATTOGRAM - Port Position as of April 28, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Glen	3,185	Reefer	Arrived April 25
2	Han	2,181	Reefer	Arrived April 18
3	Hong Yang	11,884	MPP / Container	Arrived April 18
4	S Maru 3	851	Cement Carrier	Arrived April 26
5	S Maru 3	860	Tanker	Arrived April 25
6	Thor	1,103	General Cargo	Arrived April 26
Total Tonnage		**20,064**		

GADANI - Port Position as of April 28, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	**Madina 1**	**1,657**	**Tanker**	**Arrived March 03**
Total Tonnage		**1,657**		

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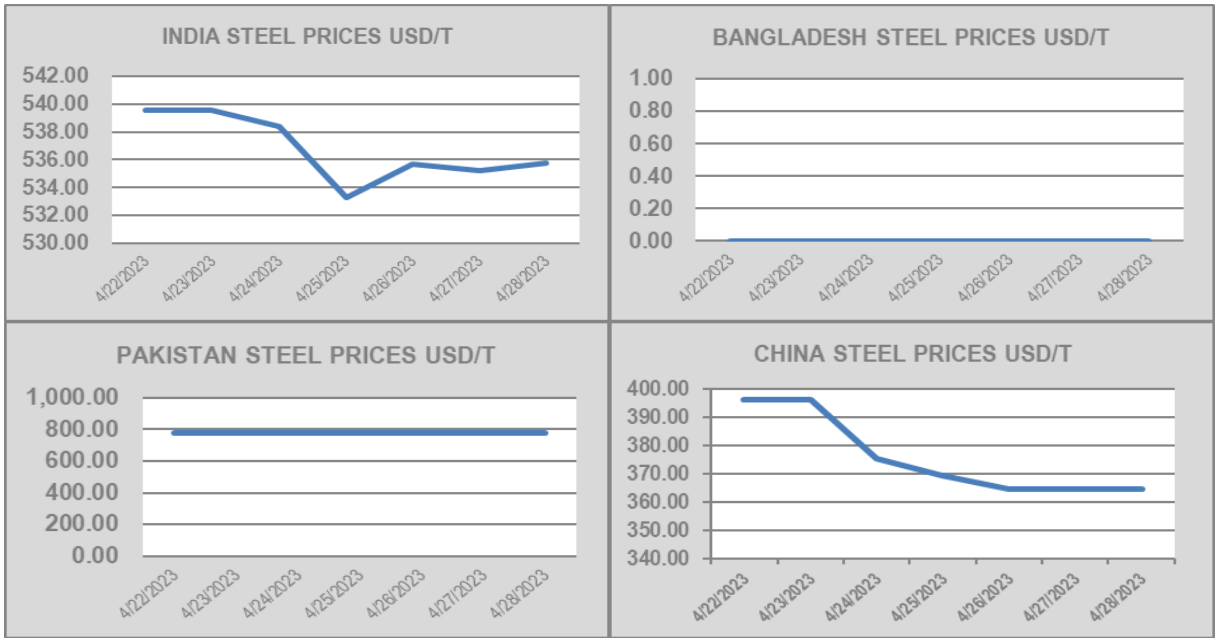
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
4/22/2023	539.59	44,300.00	777.39	220,000.00	NA	NO SALES	396.35
4/23/2023	539.59	44,300.00	777.39	220,000.00	NA	NO SALES	396.35
4/24/2023	538.40	44,100.00	777.39	220,000.00	NA	NO SALES	375.54
4/25/2023	533.25	43,700.00	777.39	220,000.00	NA	NO SALES	369.66
4/26/2023	535.65	43,800.00	777.39	220,000.00	NA	NO SALES	364.69
4/27/2023	535.19	43,800.00	777.39	220,000.00	NA	NO SALES	364.69
4/28/2023	535.78	43,800.00	777.39	220,000.00	NA	NO SALES	364.69



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